MANAGING YOUR FINANCES IN UNCERTAIN TIMES

Geopolitical and economic disruptions have sent financial markets in a tizzy and taken a toll on personal finances as well. Here is how to navigate the turbulence

By Narayan Krishnamurthy

Once every few years, there arises a situation when everything around us looks challenging and uncertain. A fragile economy, unemployment, negligible pay hikes, cuts in employee benefits, rising cost of living trigger financial disruption in many people's lives. We are undoubtedly going through economic and geopolitical volatility, and if it is telling on your financial situation, you are not alone.

If you are struggling with your finances, your financial goals may feel completely out of reach. In such a scenario, having a financial plan comes in handy. While you cannot control every aspect of your financial life (see *Mind Games*), you can manage several elements that can take care of your needs. Focus on what you actually have power over in your financial plan. Setting financial goals, if not already done, is your blueprint to a secure financial future.

In the very long run, spanning decades, despite changes in governments, wars, technological advances, discoveries and more, the stock markets have eventually risen. Instead of focusing on unpredictable events, you should

MIND GAMES

WHAT YOU CAN CONTROL

- **RISK MANAGEMENT:** While risk cannot be eliminated, understanding and learning how to manage it can give you a more secure financial future
- **SAVINGS RATE:** How much you set aside for the future is entirely within your control and has a direct impact on you reaching long-term financial goals
- **DIVERSIFICATION:** Spreading your investments across different asset classes, sectors and geographic regions can help you offset risk and capture opportunities
- **FINANCIAL PLAN:** You can control when you want to retire, how much you'll need, and your overall financial roadmap

WHAT YOU CANNOT CONTROL
...and shouldn't try to

- **ECONOMIC AND MARKET CYCLES:** Ups and downs in stock markets and economic activity over time depend on numerous factors and cannot be predicted with certainty
- **GLOBAL EVENTS AND ELECTION OUTCOMES:** They influence markets and personal finances, but their outcomes remain uncertain. Wars, post-election policy shifts and health scares are among the risks to ponder
- **DAILY MARKET MOVEMENTS:** You cannot be sure how the markets will react on any given day, only understand those movements after they occur
- **INTEREST AND CURRENCY RATES:** You have no control over their movement

Illustrations by **SIDDHANT JUMDE**